5.5 Taxes

Video: Taxes (Crash Course Economics)

A Long History

People have paid taxes as long as there are records of organized society. Ancient Mesopotamians paid in livestock and labor.

Justice Oliver Wendell Holmes wrote that taxes are what we pay for _____.

Goals of Taxation

Raise money for government services that markets might not pay for, like public safety, _____, and education.
Redistribute _____ from people who have more to people who have less (for example, luxury taxes on expensive items).
Change people's _____: _____ on cigarettes and alcohol, gasoline taxes, and _____ on greenhouse gases.

Direct and Indirect Taxes

Type	Description	Examples
_____ taxes	Paid by a person or organization straight to the government	Property and income taxes
_____ taxes	Collected by a seller but paid by consumers	Sales taxes and value added taxes

Some economists say indirect taxes distort market prices and lead to _____.

Regressive, Progressive, and Proportional

Type	Who Feels It Most	Example
	Takes a bigger toll on people with lower incomes	Sales taxes; driver's license fees
	Shifts the burden to people who make more	U.S. income tax
	Same percentage of income from everyone	A _____

How Tax Brackets Work

The IRS uses _____ income tax brackets. Your income is divided into chunks, and you pay each bracket's rate only on that chunk.

If a raise bumps you into a higher bracket, you pay the higher rate only on the extra money, so your _____ is lower. Credits, exemptions, and _____ also reduce what people owe.

The Flat Tax Debate

Supporters say a flat tax is simpler than the current tax code and feels _____. Opponents argue it would remove deductions that encourage saving, home ownership, and charity, and would shift the tax burden away from the wealthy. Before supporting any plan, study its implications.

Tax Rebellions

British taxes such as the _____ of 1765 helped lead to the American Revolution: "No taxation without representation."

In 1930, Mohandas Gandhi led the _____, a nonviolent protest against a British salt tax in India.

Think About It

Think of something you bought recently. Did you pay sales tax on it? Do you think sales taxes are fair to everyone? Explain. _____